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Gulf Market Wire

FREE INVESTOR GUIDE

Tips for Investing in GCC Markets

Plus: why expats in the Gulf should build a US portfolio

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INTRODUCTION

Investing in the Gulf

The six Gulf Cooperation Council (GCC) markets are Saudi Arabia, the UAE, Qatar, Kuwait, Bahrain and Oman. Together they have become one of the most closely watched groups of emerging markets in the world. They offer large, profitable companies, regular dividends and economies investing heavily beyond oil.

They also have their own rules, rhythms and risks, which catch out many first-time investors. This guide covers ten practical tips to help you invest in the region with more confidence. It then explains why professionals working in the Gulf should also build a portfolio in the US markets.

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PART ONE

Ten tips for GCC markets

01 —

Know the seven exchanges

The GCC has seven stock exchanges, each with its own character:

Country	Exchange	What stands out
Saudi Arabia	Saudi Exchange (Tadawul)	The largest and most liquid market in the region; home to Aramco and the major Saudi banks
UAE	Abu Dhabi Securities Exchange (ADX)	Large holding companies, energy and banking groups
UAE	Dubai Financial Market (DFM)	Real estate, banks, logistics and a steady flow of IPOs
Qatar	Qatar Stock Exchange (QSE)	Banks, energy and industrial companies
Kuwait	Boursa Kuwait	Banks, telecoms and long-established family groups
Bahrain	Bahrain Bourse	Smaller market, strong in banking and finance
Oman	Muscat Stock Exchange (MSX)	Smaller market with growing energy and utility listings

Liquidity varies a lot. Shares in a large Saudi bank trade very differently from shares in a small Omani company, so match the market to your investment size and how quickly you may need to sell.

02 —

Check how you are allowed to invest

Access rules for foreign investors differ by country and change over time.

- **Saudi Arabia** opened its Main Market to all categories of foreign investors in February 2026, replacing the old Qualified Foreign Investor (QFI) regime. Company-level ownership limits still apply.
- **The UAE, Qatar, Kuwait, Bahrain and Oman** let foreign investors open trading accounts through local brokers, usually with a national investor number from the exchange or depository.

Before you start, confirm with your broker what you need: usually identity documents, proof of address, a local investor number and a bank account for settlement.

03 —

Watch foreign ownership limits

Many GCC companies cap how much of their shares foreigners can own in total, often by sector or under their own articles of association. When a company reaches its limit, foreign investors cannot buy more shares in it on the market, even if local investors can.

> **TIP**
> Check a company's foreign ownership headroom on the exchange website before you research it in depth. A great company you can't buy doesn't help your portfolio.

04 —

Understand the oil connection, but don't overstate it

Oil prices still shape government budgets, public spending and investor sentiment across the region. When oil falls sharply, GCC markets often feel it.

But the link is weaker than it used to be. Saudi Arabia's Vision 2030 and similar plans across the Gulf are building up tourism, logistics, financial services, technology and manufacturing. Many listed companies, such as banks, retailers and telecom operators, now depend more on local economic growth than on the oil price directly.

> **TIP**
> For each company, ask how much of its profit really depends on oil. Then follow that factor, not just the Brent price.

05 —

Use the currency pegs to your advantage

Most GCC currencies are pegged to the US dollar. The Saudi riyal, UAE dirham, Qatari riyal, Bahraini dinar and Omani rial all trade at fixed rates to the dollar. Kuwait links its dinar to a basket of currencies. This means:

- For dollar-based investors, currency risk is low compared with most emerging markets.
- GCC central banks generally follow US Federal Reserve rate moves, so US interest rates directly affect local borrowing costs, bank profits and property demand.

> **TIP**
> Watch the Fed as closely as you watch local news. It often matters more to GCC banks and real estate stocks.

06 —

Look beyond the headline index

Benchmark indices in the region are often dominated by a few heavyweight stocks, especially banks and energy companies. An index can rise while most shares fall, or the other way around.

> **TIP**
> Look at sector performance and individual companies rather than relying only on the main index. A diversified approach across sectors and countries reduces your exposure to any single company or government policy.

07 —

Take dividends seriously

Many GCC companies, especially banks, telecoms and utilities, pay regular dividends, and income has long been part of the appeal of investing in the region.

- Check the dividend history over several years, not just the latest payout.
- Make sure the dividend is covered by earnings and cash flow, not borrowing.
- Note that some markets, including Saudi Arabia, withhold tax on dividends paid to non-residents. Check how this interacts with tax in your home country.

08 —

Approach IPOs with discipline

The Gulf has become one of the busiest IPO markets in the world, with frequent listings in Riyadh, Abu Dhabi and Dubai. Retail investors can often subscribe through a dedicated retail tranche.

> **TIP**
> Read the prospectus, understand who is selling shares and why, and compare the valuation with similar listed companies. Popular IPOs are often heavily oversubscribed, so you may receive far fewer shares than you applied for. Plan your cash accordingly.

09 —

Respect the local trading calendar

- **Trading days:** the UAE trades Monday to Friday. Saudi Arabia, Qatar, Kuwait, Bahrain and Oman trade Sunday to Thursday.
- **Ramadan:** trading hours are usually shortened, and volumes can be lower.
- **Holidays:** markets close for Eid and national holidays, and closure dates can depend on the moon sighting.
- **Settlement:** the region's main markets settle on a T+2 basis, so trades complete two business days after the trade date.

> **TIP**
> If you trade from abroad, set up your plans around the local week and time zone, especially around holidays.

10 —

Factor in geopolitical and regional risk

The Gulf sits at the centre of global energy and shipping routes, including the Strait of Hormuz. Regional tensions can move markets quickly, sometimes sharply, even when company fundamentals haven't changed.

> **TIP**
> - Size your positions so that a sudden regional sell-off doesn't force you to sell.
> - Avoid using borrowed money in volatile periods.
> - Treat sharp, news-driven falls as a time to review your reasons for owning a stock, not as an automatic signal to sell or buy.

PART TWO

For expats: why US markets belong in your plan

Millions of professionals live and work in the GCC on long-term contracts. If you're one of them, your situation is different from that of a local investor: your job, your income and often your savings are all tied to the region. Here's why building a US market portfolio alongside your GCC investments makes sense.

1 **Turn your tax-free salary into long-term wealth**

Most GCC countries don't tax personal income. Oman is the exception, with a 5% tax on high earners from 2028. A GCC posting is often the best saving window of an expat's career, and money left in a current account loses value to inflation. Investing regularly in broad US market funds puts that window to work.

2 **Build the pension your job doesn't give you**

Most expats in the Gulf don't receive a state pension. They usually get an end-of-service gratuity when they leave. That's a useful lump sum, but for most people it isn't enough to retire on. Your retirement plan is largely up to you, and the US market's long-term record of growth makes it a common foundation.

3 **Don't put all your eggs in one regional basket**

Your salary, your housing and possibly your visa already depend on the Gulf economy. If you also invest only in GCC stocks, an oil downturn or a regional crisis could hit your job and your savings at the same time. US markets give you exposure to thousands of companies in technology, healthcare, consumer goods and other sectors that are under-represented in Gulf indices.

4 **Little currency risk while you earn in the Gulf**

Most GCC currencies are pegged to the US dollar, so if you earn in dirhams or riyals and invest in dollars, you face very little currency risk while you live in the region. Keep in mind that your currency risk returns when you move home and spend in another currency.

5 **A portfolio that moves with you**

Expat life is temporary by nature. US shares and global funds held with an international broker can stay invested wherever you go next, whether that's home, another Gulf country or somewhere new. Investments tied to one local market or employer are much harder to take with you.

6 Depth, choice and low costs

The US is the world's largest and most liquid stock market. Low-cost index funds and ETFs let you own a slice of hundreds of companies in one purchase, often for a small annual fee. That's a simple and efficient way to start for anyone investing from a monthly salary.

Know the rules before you start

- **US estate tax:** if you aren't a US citizen or resident, US-based assets such as shares in US companies and US-listed ETFs worth more than **$60,000** can face US estate tax of up to 40% when you die. Many expats avoid this by using **Ireland-domiciled (UCITS) ETFs** that track US indices. These funds aren't US assets for estate tax purposes, and they usually pay a lower US withholding tax on dividends.
- **Dividend withholding tax:** dividends paid by US companies to non-residents generally have **US tax withheld at up to 30%**. This can be reduced through tax treaties or the fund structure.
- **Your home country's rules:** you may owe tax on gains or income when you move back home. Some countries also restrict which foreign funds their residents can hold.
- **US citizens and green card holders** are taxed by the US on worldwide income wherever they live. Different rules apply to them, so they should get specialist advice.
- **Choose a regulated broker** that accepts clients in your country of residence, and check its fees, the protection it offers for your assets, and how easily you can transfer your account if you move.

THE SIMPLE APPROACH MANY EXPATS TAKE

Invest a fixed amount every month into a low-cost global or US index fund, and keep a separate, smaller allocation to GCC stocks for regional opportunities and income.

BEFORE YOU INVEST

A quick checklist

- ☐ I know which exchange I'm buying on and how liquid the stock is
- ☐ I've confirmed my account type and the documents I need
- ☐ I've checked the company's foreign ownership limit
- ☐ I understand how much the company depends on oil and on US interest rates
- ☐ I've checked the dividend history and any withholding tax
- ☐ I've read the prospectus (for IPOs)
- ☐ My position size allows for sudden regional volatility
- ☐ If I'm an expat, I have a plan for retirement beyond my end-of-service gratuity
- ☐ I've checked US estate tax and dividend withholding before buying US shares or funds

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